

push to GIFT City with proposals such as extending the period of tax benefit to funds relocating to the jurisdiction till March 31, 2025, creation of data embassies there, delegating powers under the SEZ Act to IFSCA to avoid dual regulation and setting up a single window IT system for registration and approval from IFSCA, SEZ authorities, GST Network, the Reserve Bank of India, Sebi and the Insurance Regulatory and Development Authority of India (Irdai).

Apart from banking and financial services, plans are afoot to turn GIFT City into a global reinsurance and financial services back-office hub, as well as encourage ship and aircraft leasing. PM Modi had also recently spoken about turning GIFT City into a centre for sustainable finance amidst the growing need for green capital. Significantly, Irdai in August 2023 amended its order of preference to position India as a prominent global reinsurance hub; this is set to give a big boost to reinsurance operations in GIFT City.

Experts point out that some insurers as well as insurance intermediaries have already set up shop at GIFT City and there are already liberalised requirements for setting up a reinsurance entity in the jurisdiction. "In course of time, perhaps in the next three years or so, I expect many insurance companies, especially reinsurers, to set up base there. GIFT City can easily emerge as a reinsurance hub in this part of the world," says G. Srinivasan, former CMD of New India Assurance.

To develop home-grown talent for its ambitious plans, foreign universities have also been allowed to set up branches in GIFT City. Two Australian institutions—Deakin University and the University of Wollongong—are in the process of setting up campuses in GIFT City.

Ship and aircraft leasing are the other activities that are gaining traction in GIFT City with many companies that were earlier leasing from foreign jurisdictions now doing so from here. Air India, for instance, has begun leasing aircraft from GIFT City and as many as eight ship lessors have also registered there.

Jay Kothari, Global Head-International Business at DSP Asset Managers, says



WHAT'S WORKING...

- It's a free trade area that provides financial services in foreign currencies
- Operating from here gives tax benefits including 100 per cent tax exemption for 10 consecutive years out of 15 years, along with GST and stamp duty exemption
- It is a globally benchmarked IFSC
- It has its own dispute resolution framework

WHAT NEEDS IMPROVEMENT...

- Physical infrastructure and connectivity need to improve
- Clarity on contract enforcement and legal frameworks
- Capital markets need to develop further
- Leisure zones, malls and eateries are required to attract and retain talent

TWEAKS IN THE WORKS

- Direct listing by companies in GIFT City likely by April 2024
- A comprehensive framework to be notified to make GIFT City a global hub for business accounting, compliance services, and auditing
- Instant payment and settlement system to enable faster transactions
- Proposal to enable ships with foreign flags to operate from GIFT City